

GLOBAL STRATEGY VIEWS

Momentum risks yielding to bonds

1. Despite the ongoing closure of the Straits of Hormuz, and a deterioration in the growth/inflation mix, equities are making new highs. Why? The main reason is that earnings growth is robust. This partly reflects the ongoing growth in the global economy; our economists estimate nominal global GDP growth this year (the main driver of revenues in the corporate sector) of 5.9%, compared with 4.7% last year. It is also a function of extraordinary growth in technology and energy related earnings – the two main drivers of market returns ([Exhibit 1](#)).

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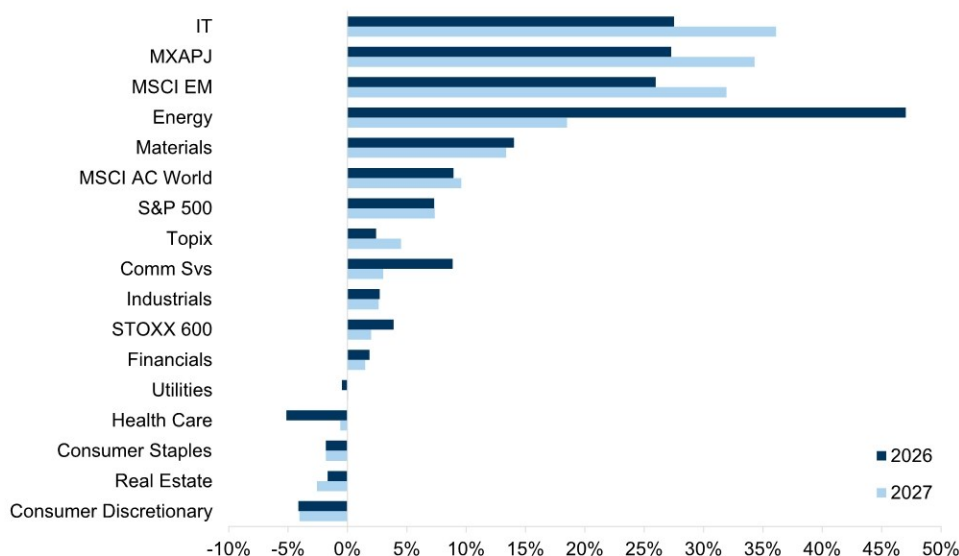
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Exhibit 1: Year-to-date EPS revisions have been strong for IT and Energy - the two main drivers of market returns

MSCI AC World sectors and Global Regions. Local currency

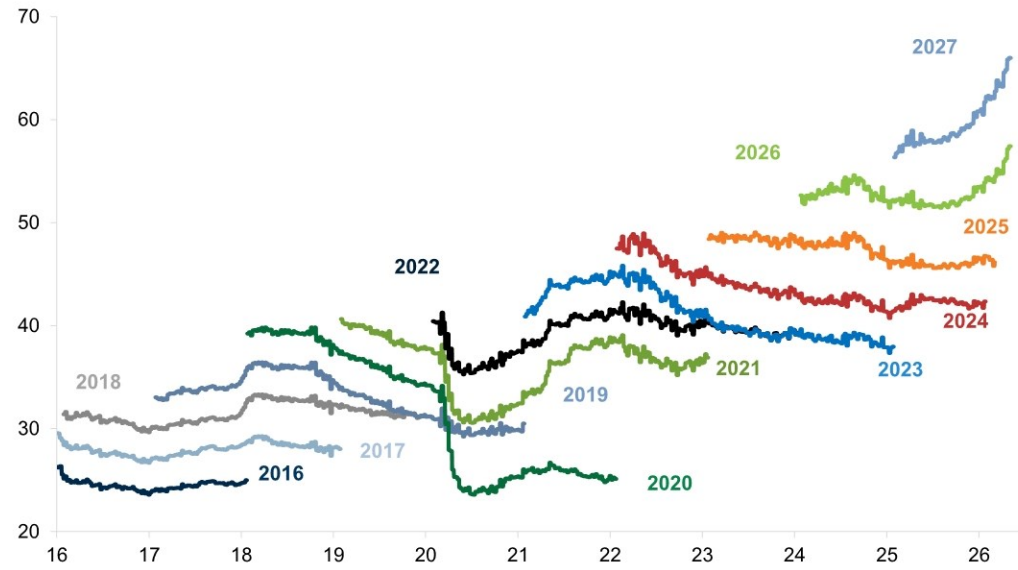


Source: Datastream, I/B/E/S, STOXX, FactSet, Goldman Sachs Global Investment Research

In the US, for example, bottom-up consensus estimates for S&P 500 EPS in 2026 and 2027 have each risen by 8pp so far this year, but increasing expectations for AI capex spending and higher energy prices have driven the majority of the positive revisions. However, EPS revisions during the past month has been positive in every S&P 500 sector and earnings have been strong across the main regions. In most years, bottom-up analysts' consensus estimates are too optimistic and gradually decline. So far this year, and for next year, global earnings have been revised higher ([Exhibit 2](#)).

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Exhibit 2: So far this year, and for next year, global earnings have been revised higher
Consensus estimates in USD. MSCI AC World EPS



Source: FactSet, Datastream, STOXX, Goldman Sachs Global Investment Research

2. The leadership of technology and energy has been responsible for a strong rise in the 'Momentum' factor (see: *US Weekly Kickstart: AI, Momentum, and the One Big Trade*) (Exhibit 3).

Exhibit 3: Momentum vs. Market

MSCI Momentum Indices relative price return (USD)

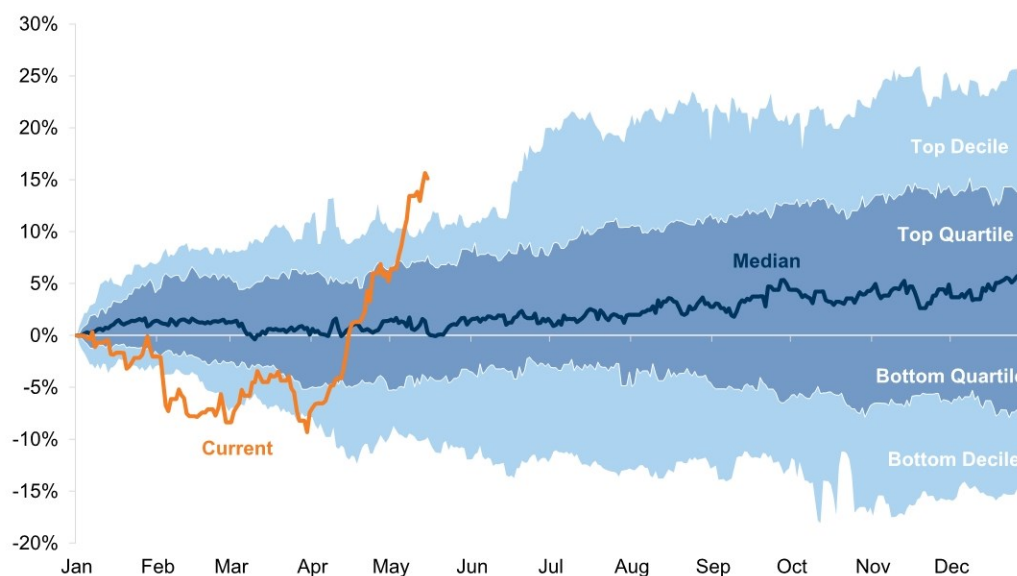


Source: Datastream, Goldman Sachs Global Investment Research

The speed of the rebound in technology has been the most dramatic driver in recent weeks and reflected, in our view, the valuation opportunity following the step de-rating earlier in the year (Exhibit 4).

Exhibit 4: The rebound in technology has reflected the valuation opportunity following the de-rating earlier in the year

Distribution of returns of World Tech vs. World ex. TMT, data since 1973



Source: Datastream, Goldman Sachs Global Investment Research

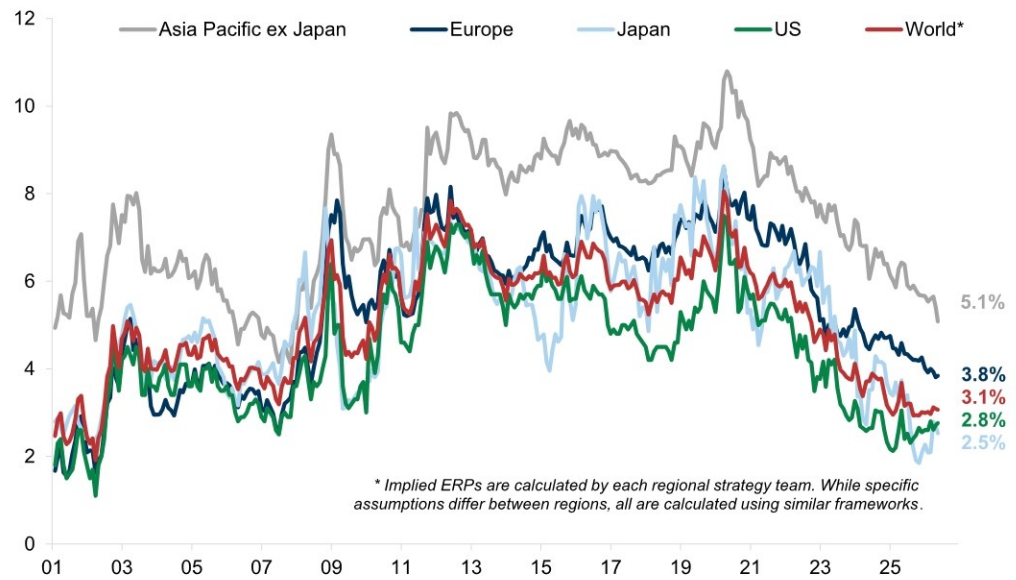
But the recovery in technology, and the rise in commodity related sectors reflected in the rise in momentum has also made the equity rally very concentrated. For example, the S&P 500 has returned ca. 10% YTD in 2026, with TMT accounting for 85% of the return. Korea, at the sharp end of the chips boom, has enjoyed a surge of nearly 80% this year (following similar advances last year) but our Asia strategists now expect 300% profit growth this year for the index. Other regions have also experienced significant concentration of returns driven by either technology, energy or both. **Despite the fact that the Momentum rallies across regions has been a reflection of strong underlying profit growth, it does raise the risks in the market of a correction on the back of a deterioration in the growth and inflation mix.**

3. These nearer terms risks have also become more elevated given the sharp rise in investor sentiment and positioning. Our Risk Appetite Indicator (RAI) rose above 1.1 last week, in its 99th percentile since 1991, and the highest read since 2021. Rising optimism is also reflected in the surge in retail participation, particularly in the US. GS trading desk estimates show that retail trading volumes have risen by 28% since mid-April and a basket of retail favorite stocks (GSXURFAV) has rallied by 29% over the same period.

At the same time, the rise in equity markets has occurred despite the rise in bond yields, pushing down equity risk premia (ERP) (Exhibit 5), making equity markets more vulnerable to disappointments on growth or inflation.

Exhibit 5: Equity market valuations have increased and largely shrugged off the rise in bond yields, pushing down equity risk premia

Global market implied ERP (%)

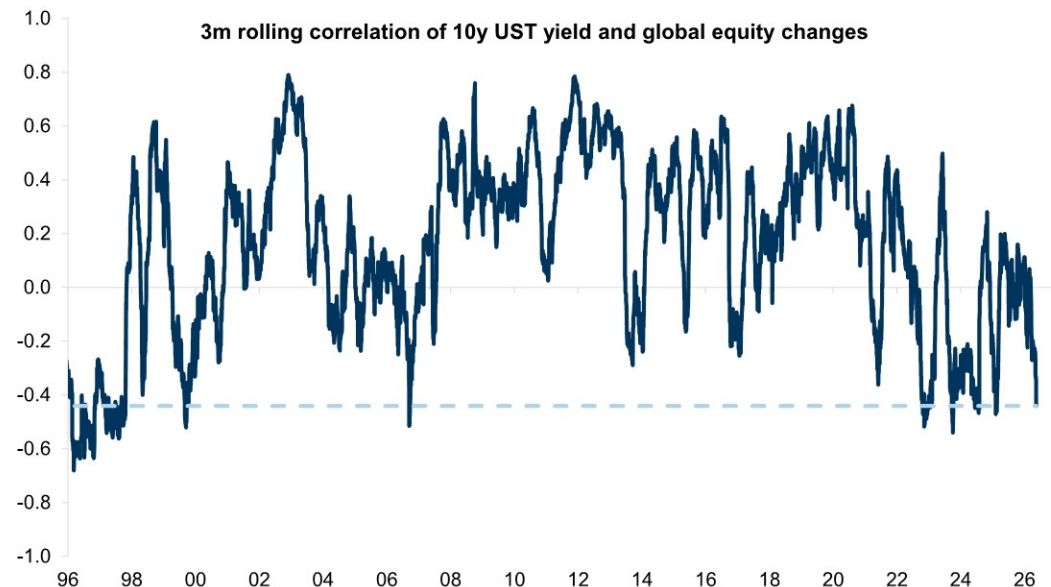


Source: Goldman Sachs Global Investment Research

The correlation of equities to bond yields has turned negative ([Exhibit 6](#)). If oil disruptions continue into 2H of this year and inflation expectations rise further, there is a real risk of a speed bump for equity markets.

Exhibit 6: The correlation of equities to bond yields has turned negative

3m rolling correlation of daily changes



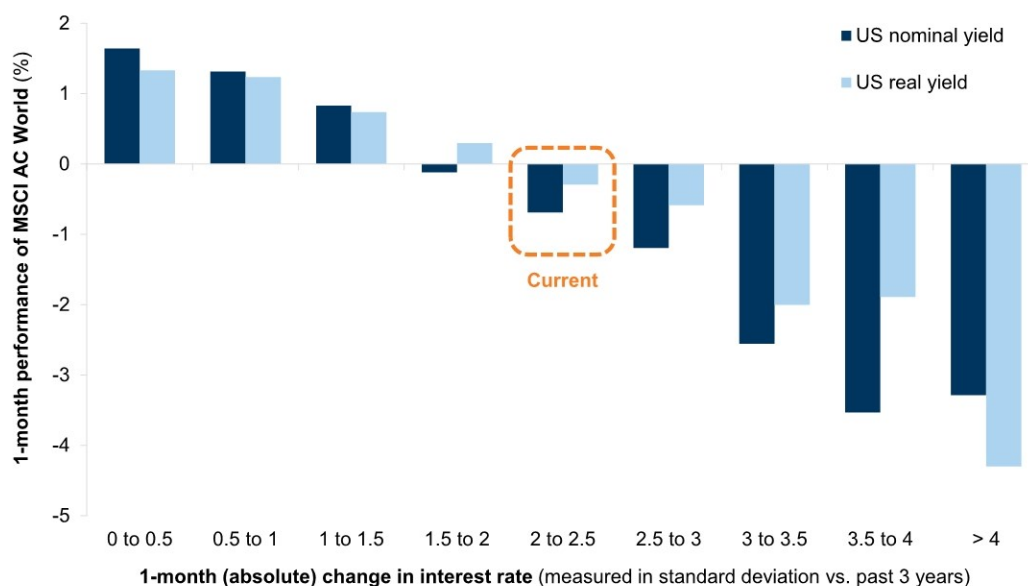
Source: Datastream, Goldman Sachs Global Investment Research

While bond yields have been rising, the speed of the adjustment is important and could become a trigger for an equity correction. As shown in [Exhibit 7](#), **sharp bond yield moves have coincided with negative equity returns**. The surge in government

borrowing is an additional factor pushing up longer dated yields across bond markets. **Political developments can rapidly undermine confidence in government funding as they compete to raise money in an environment where capital spending is rising in the private sector. A sharp increase in bond yields from current levels present an additional meaningful risk for equity investors.**

Exhibit 7: Sharp bond yield moves have coincided with negative equity returns

Average global equities returns depending on absolute moves in US 10-year yields (data since 2000)



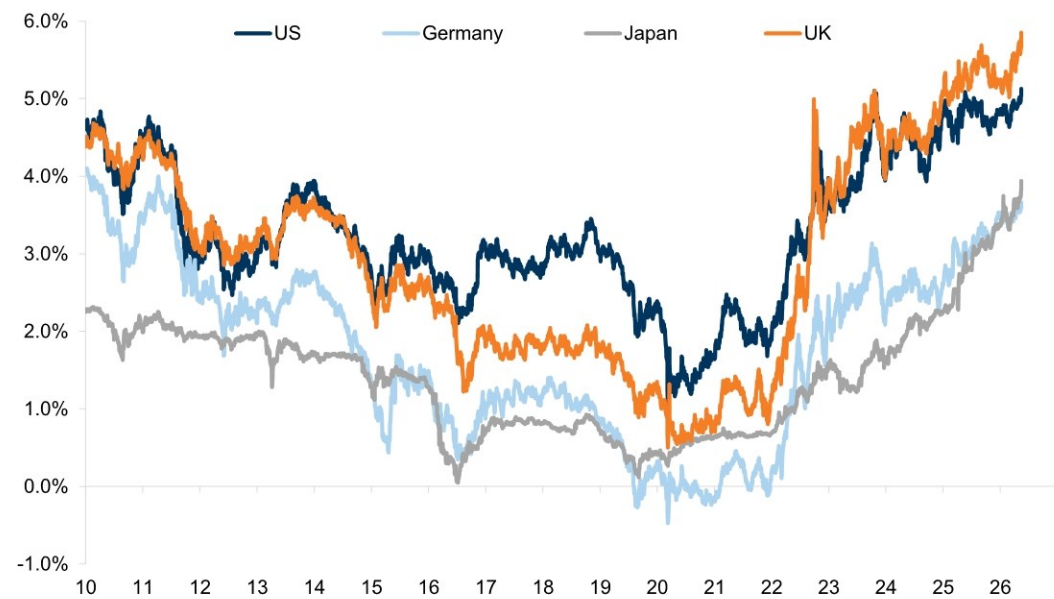
Source: Datastream, Goldman Sachs Global Investment Research

4. Nevertheless, taking a step back from the recent rise in Momentum, and the shorter term risks, we have argued that the core drivers of equity returns, and the distribution between relative winners and losers has shifted. **For nearly 15 years equity returns followed a repeated pattern driven by three factors: geography, sector and factor. The US equity market consistently outperformed other regions, technology outperformed other sectors and the 'Growth' factor outperformed 'Value'.** Over this period, the technology sector experienced a boom in earnings as the world accelerated its transition to a digital world benefiting software and cloud computing. These companies were largely detached from the sluggish growth in economies around them and benefited from the capex that was installed during the internet boom a decade earlier and very low interest rates. Whereas slow growing 'old economy' businesses suffered from overcapacity, sluggish nominal economic growth and private sector deleveraging; rather than accruing value for shareholders, many were seen as 'Value traps'.

5. What has changed? **First, the rise in bond yields and inflation.** After years of ultra-low interest rates, we have seen a significant rise in long term bond yields. Only a handful of years ago, a quarter of 10-year government bond yields had a negative yield; even 30-year yields in Germany and Japan were around zero, and in other markets around 1% - they are now between 3.5 and 6% with the US moving above 5% for the first time since 2007. (Exhibit 8).

Exhibit 8: After years of ultra-low interest rates, we have seen a significant rise in long term bond yields

30-year government bond benchmark yields



Source: Datastream, Goldman Sachs Global Investment Research

The impact of this rise in long term interest rates - reflecting a combination of rising term premium and higher government debt - has both **reduced the value of very long duration growth within equity markets, while also undermining the valuation of Defensive and 'Quality' parts of the equity market (Exhibit 9)**, which are most sensitive to interest rates and were largely valued as bond proxies.

Exhibit 9: The rise in long term interest rates has undermined the valuation of Defensive and 'Quality' parts of the equity market

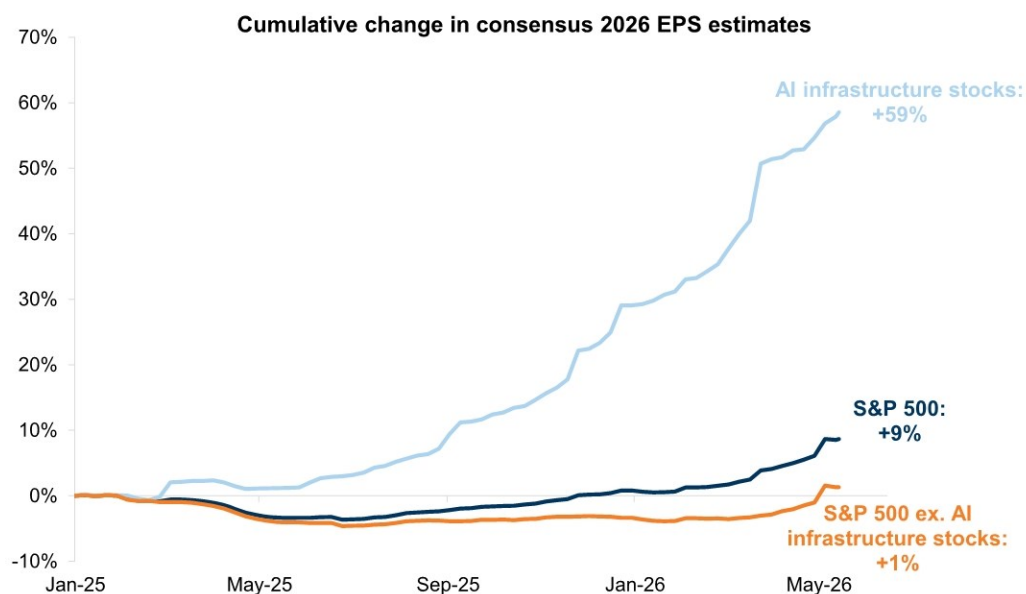
MSCI Europe Quality vs. Market



Source: Datastream, Bloomberg, Goldman Sachs Global Investment Research

6. Second, the increase in capital spending has been dramatic. In the decade and a half post the Global Financial Crisis there was little appetite or incentive for companies to invest heavily in capex. Growth and returns were low and there was excess capacity in many older economy industries. The launch of Chat-GPT, and growing demands for critical infrastructure, has shifted the balance in favour of capital spending. In the US alone, S&P 500 companies have reported year/year capex growth of +38% so far in Q1 2026 vs. just +1% for buybacks, a remarkable shift from the trend over the decade and a half following the financial crisis when companies were generally rewarded for buybacks and penalised for capex. The explosion of spending on capex by the major hyperscalers in the US has been the biggest driver. So far this year consensus estimates for the spend of the top 5 have increased by around \$80bn to \$755bn, 80% higher than a year ago. The result has been a significant boost to the earnings of AI infrastructure companies, including chip manufacturers ([Exhibit 10](#)).

Exhibit 10: The explosion of CAPEX spending boosted earnings of AI infrastructure companies, including chip manufacturers

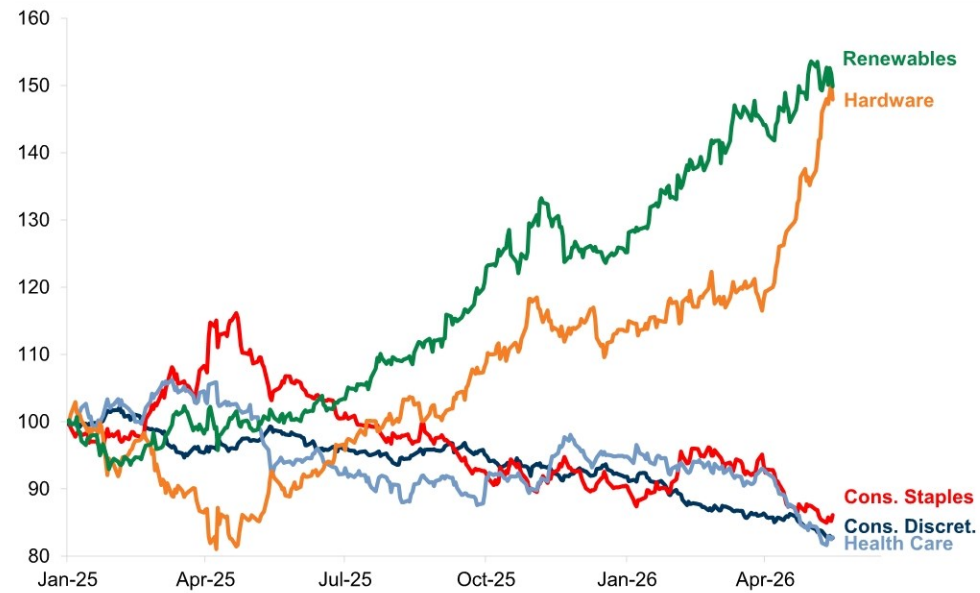


Source: FactSet, Goldman Sachs Global Investment Research

7. In combination, the rise in interest rates and the increase in infrastructure and capex spend have changed the drivers of returns within and across equity markets. The old pattern of US, technology and growth outperformance has given way to a more eclectic mix of returns across geographies, sectors and factors. The rise in capex spending has contributed to outperformance of the main infrastructure beneficiaries, both across technology (chips) and the old economy (energy and industrials) while the rise in bond yields has dampened the valuations and returns in the Defensive and Consumer parts of the market ([Exhibit 11](#)).

Exhibit 11: The rise in CAPEX boosted infrastructure beneficiaries; the rise in bond yields has dampened defensive and consumer parts of the market

Price performance relative to Global Market. Renewables = GSWDRNEW

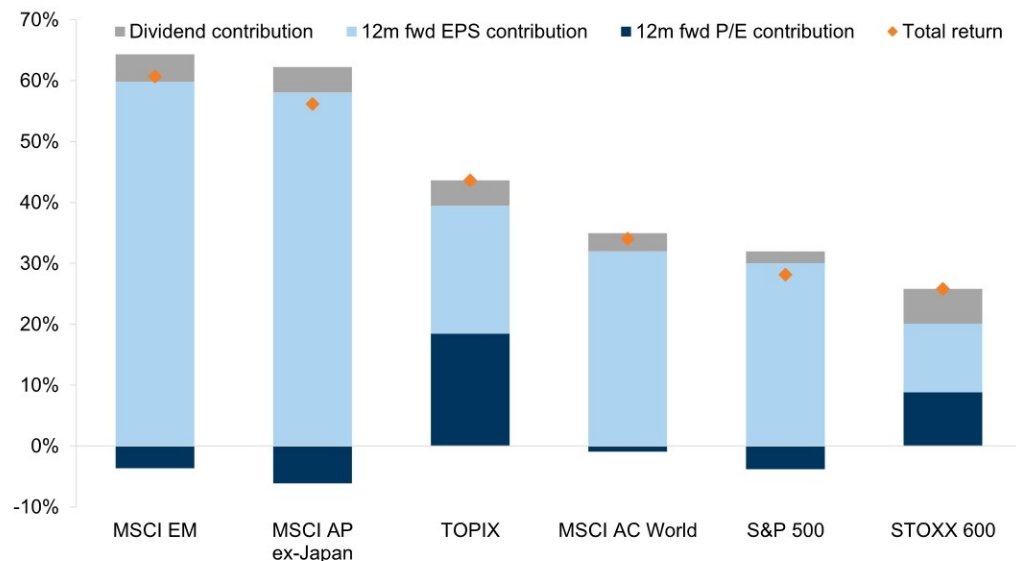


Source: Datastream, Bloomberg, Goldman Sachs FICC and Equities, Goldman Sachs Global Investment Research

8. The widening of sector performance has broadened geographical returns. The US market has rebounded recently from a period of underperformance, but over the past year all markets have done well and have been mainly driven by earnings growth ([Exhibit 12](#)); EM and Asia have led the pack, overtaking the US.

Exhibit 12: Over the past year all markets have done well and have been mainly driven by earnings growth

Return in local currency since 31-Dec-2024



Source: FactSet, Datastream, STOXX, Goldman Sachs Global Investment Research

9. The other big change is that there are much wider spreads of returns *within*

factors. For many years, the factor returns were bifurcated between growth and value, but there are now wide differences of performance within both the Growth and the Value factor. For example, within technology the sector is no longer acting as a homogeneous group. The US Mega Caps have de-rated on concerns over the erosion of free cash flow and future slower returns ([Exhibit 13](#)).

Exhibit 13: The valuation premium of the US Mega Caps has fallen
S&P 500 12m forward P/E multiple

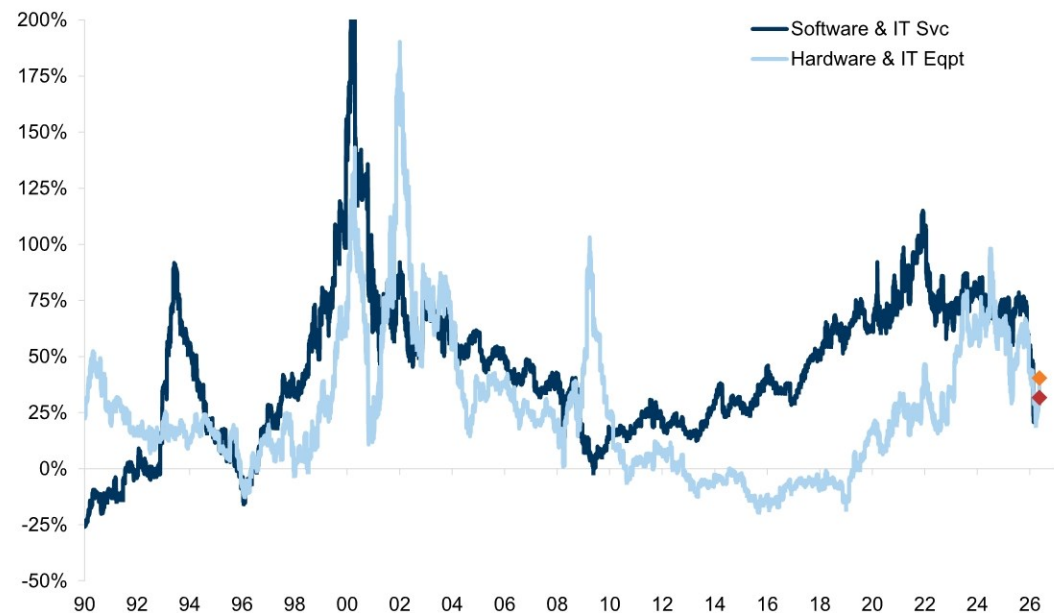


Source: FactSet, Goldman Sachs Global Investment Research

The software companies have de-rated even more on the fear of disruption from agentic AI, undermining their terminal values ([Exhibit 14](#)).

Exhibit 14: Fears of innovation from AI models has triggered a sharp de-rating of the Software sector

Premium/(Discount) on 12m forward P/E vs. World ex. TMT. Global Sectors.

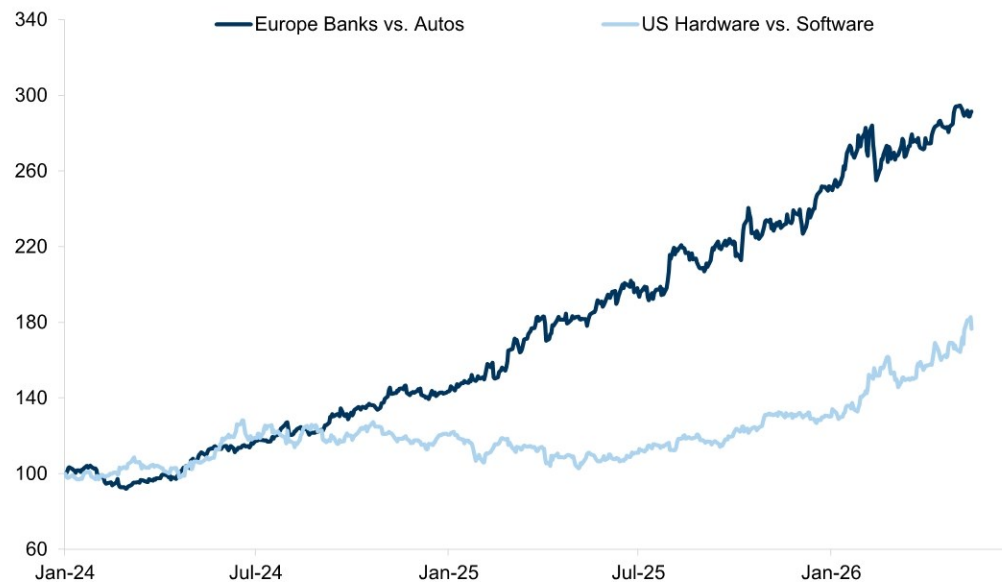


Source: Datastream, Goldman Sachs Global Investment Research

The result has been wide divergence of returns within the Technology sector, between Hardware and Software, just as there has been a widening of performance across the Value space, such as European Banks and Autos ([Exhibit 15](#)).

Exhibit 15: Performance diverged within both US Growth and European Value

Relative price performance indexed in Jan 2024

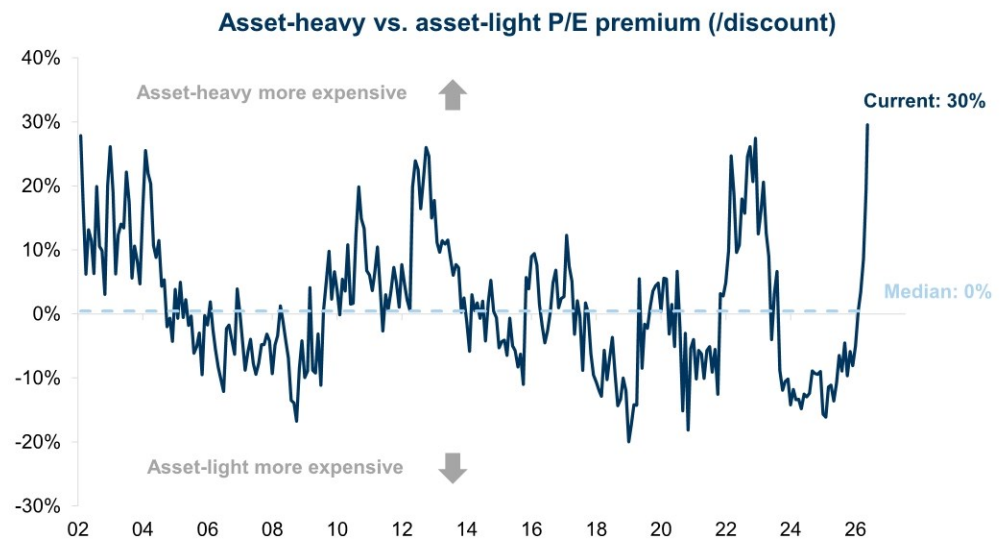


Source: Datastream, Goldman Sachs Global Investment Research

10. Widening spreads of returns across geographies and sectors has also broadened the opportunities across factors like growth and value. **The rise in technology capex, coinciding with a renewed urgency to strengthen ‘critical infrastructure’ and**

defence spending, has boosted the prospective returns in many ‘old economy’ sectors that for many years fell into the value bucket. This transformation of perceived opportunities has resulted in a shift in the relative valuation of capital light and capital heavy businesses. For the first time for over a decade, HALO companies (heavy asset but low obsolescence) are being favoured at a time when many capital light business are seeing their terminal values eroded by fears of competition and/or rapid obsolescence (Exhibit 16).

Exhibit 16: Asset-heavy stocks now trade at a P/E premium to asset light stocks in the US
US equities



Source: FactSet, Goldman Sachs Global Investment Research

While there are growing risks of a correction in the near term if the growth and inflation mix deteriorates, we remain optimistic about opportunities for investors to add alpha. For the first time in many years we see emerging pockets of value in the growth space and emerging pockets of Growth in the Value parts of markets.

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